

U.S. Electrical Equipment

Eaton Corp PLC

Rating

Outperform

Price Target



534.00 USD



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Eaton: Some much-needed margin relief; growth re-accelerating

ETN reported impressive 2Q results. EPS of \$3.18 beat by 3%, net sales of \$8.53B by 5%, and segment profit of \$1.97B by 7%. The company also raised FY26 guide for EPS by 2% to \$13.50 and organic growth by 200bps, while maintaining margins. We remain buyers.

A welcome operational beat on margins to ease investors' biggest concern with further improvement embedded into guide. Following last quarter's margin guide cut, ETN held the line on delivering segment level margins above consensus expectations and re-affirmed their FY margin guide which reinforces a meaningful H/H step-up, particularly in its core Electrical Americas segment. The beat was truly operational: EA margins beat street by 60 bps (IEEPA tariff refunds were <\$3M impact). ETN is benefitting from **a)** targeted price increase to offset cost inflation, and **b)** volume leverage boosted by new capacity (of which the worst impacts are behind them). The FY guide points to 30 bps of upside vs. street, and 2H margins are implied to be up 450bps+ of H/H, implying 40% incrementals (~30% in 3Q/50%+ in 4Q), a solid exit rate to help investors think about '27.

Growth accelerated further, led by Electrical and M&A. Electrical Global was the notable standout. Excluding Boyd (where guidance was raised by 7% to ~\$1.5B; driving 22ppts of growth in '26), Global grew 18% organic Y/Y led by data center which grew 65% Y/Y organic vs. the market at 23%, and saw its backlog grow 54% organically (vs. 103% total including Boyd). MOEM was also up >20%, and utility and C&I up low-teens. Americas also delivered 18% organic growth, and its negotiations pipeline is up 60% Y/Y on a YTD basis. Notably, mgmt sited a 307 GW data center backlog or 15 years' worth of backlog at '25 build rates (up from 12 years in 1Q) with only 20% of backlog converting in the near-term. Beyond this, C&I, MOEM, and distributed IT revenues were up double-digits.

Well positioned to capture the 800VDC opportunity. As rack densities and build complexities rise, data center spend will rise to those with full solutions. At the product level, it begins with solid-state transformers (SSTs), DC breaker tech, power electronics, and cooling (both cold plates & CDUs). These four technical blocks require service. Via Resilient, Boyd, etc. ETN has aligned its portfolio to offer a full "grid-to-chip" service.

Investment Implications

We maintain our **Outperform** rating, TP **\$534** implying 29% upside.

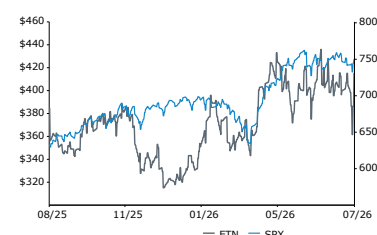
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
ETN (USD)	12.07	13.50	16.00	Revenues (M)	27,449	32,859	36,532	15.4%	Adjusted P/E (x)	34.4	30.8	25.9
OLD	--	13.45	16.37	EBIT (M)	5,173	5,678	7,585	21.1%	Reported P/E (x)	39.7	42.8	29.7

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	31 Jul 2026			
ETN Close Price (USD)	415.20			
Price Target (USD)	534.00			
Upside/(Downside)	29%			
52-Week Range	436.74/311.92			
SPX	7,489.72			
FYE	Dec			
Div Yield	1.1%			
Market Cap (USD) (M)	161,264			
EV (USD) (M)	182,390			
Performance	YTD	1M	6M	12M
Absolute (%)	30.4	(2.6)	18.1	7.9
SPX (%)	9.4	(0.1)	7.9	18.1
Relative (%)	20.9	(2.4)	10.2	(10.2)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR

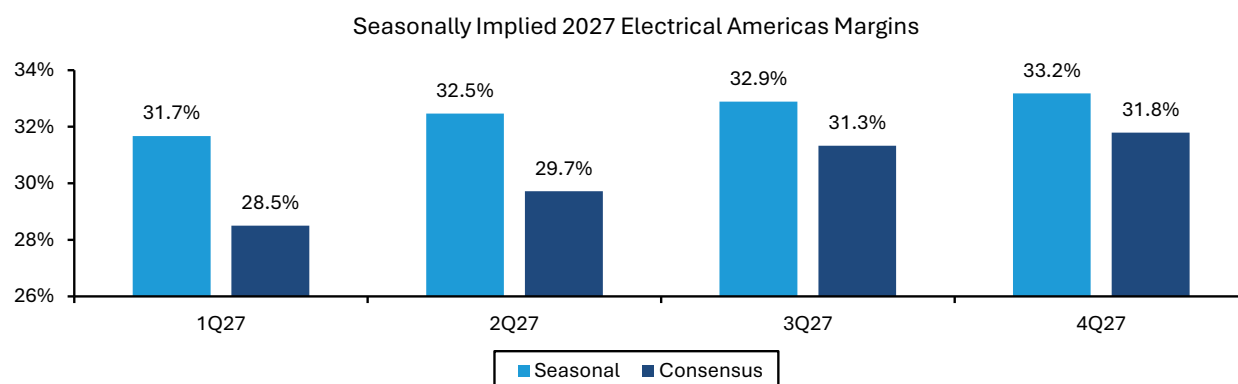


DETAILS

EXHIBIT 1: **Our Updated ETN Forecasts Following 2026 EPS**

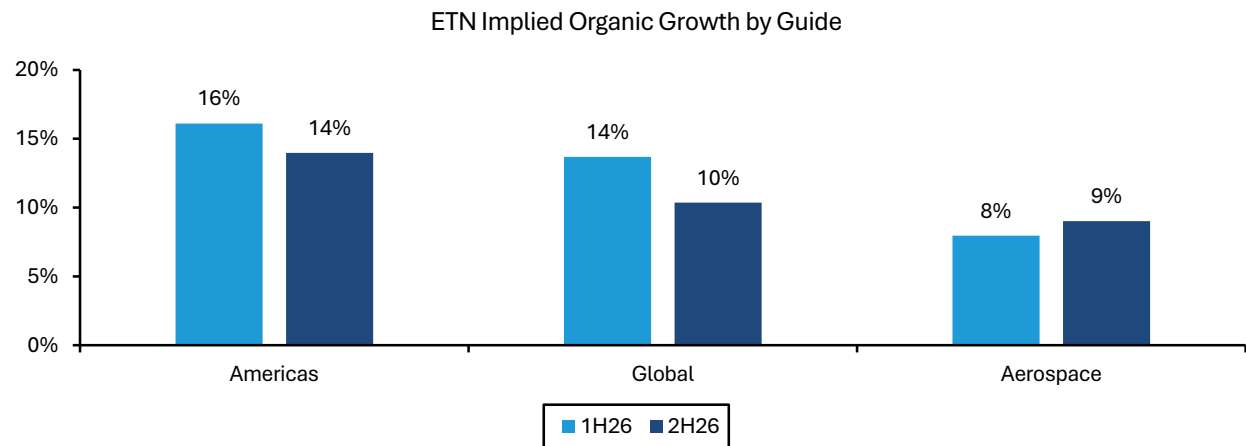
	A	A	E	E	E	Guide	E
	1Q26	2Q26	3Q26	4Q26	2026		2027
Revenues							
Old Bern	\$7,451	\$8,156	\$8,313	\$8,451	\$32,370		\$35,851
New Bern	\$7,451	\$8,531	\$8,517	\$8,361	\$32,859		\$36,532
Delta (%)	0%	5%	2%	-1%	2%		2%
Consensus	\$7,451	\$8,127	\$8,216	\$8,314	\$31,941		\$35,304
New vs Consensus	0%	5%	4%	1%	3%		3%
Segment Op. Profit							
Old Bern	\$1,690	\$1,878	\$2,097	\$2,192	\$7,857		\$9,156
New Bern	\$1,690	\$1,974	\$2,115	\$2,184	\$7,963		\$9,147
Delta (%)	0%	5%	1%	0%	1%		0%
Consensus	\$1,690	\$1,849	\$2,060	\$2,138	\$7,737		\$9,054
New vs Consensus	0%	7%	3%	2%	3%		1%
EPS							
Old Bern	\$2.81	\$3.08	\$3.52	\$4.03	\$13.45	\$13.28	\$16.37
New Bern	\$2.81	\$3.15	\$3.50	\$4.03	\$13.50	\$13.50	\$16.00
Delta (%)	0%	2%	-1%	0%	0%	2%	-2%
Consensus	\$2.81	\$3.08	\$3.50	\$3.96	\$13.36		\$15.60
New vs Consensus	0%	2%	0%	2%	1%	-1%	3%

Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 2: **Based on Management's Comment That Electrical Americas Margins Will Finish 4Q at 32%+ Margins, If We Apply Normal Seasonality to This in '27, it Implies Solid Upside to Margins Next Year**

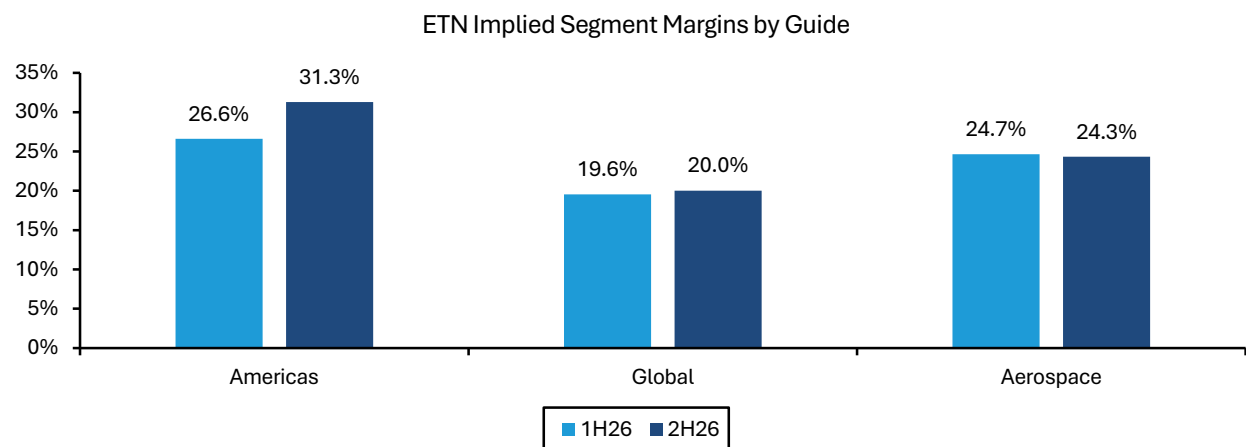
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 3: ETN's Guide Look Conservative, Particularly For Electrical Where Mgmt is Implying a 200bp and 400bps Decel From 1H to 2H in Americas and Global, Respectively



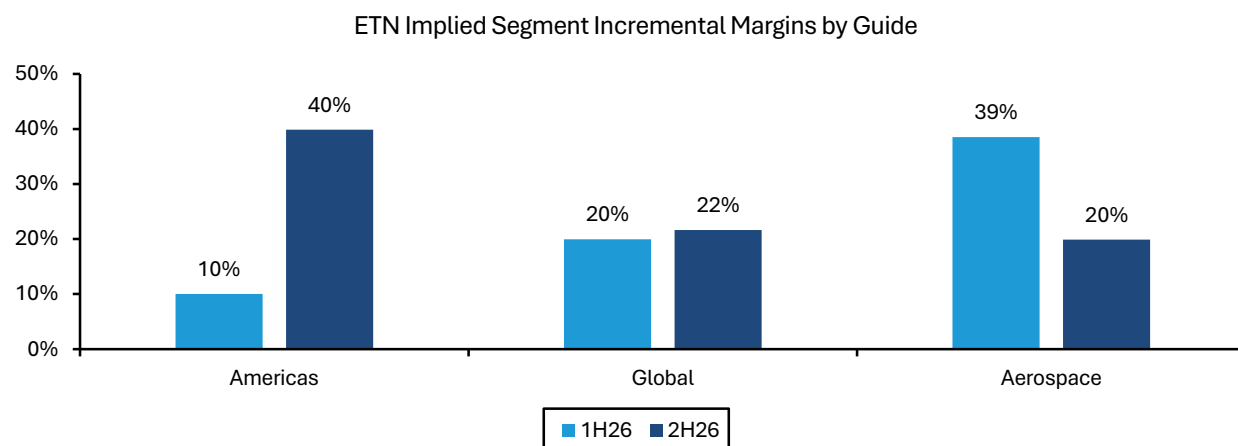
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 4: ETN's Margin Guide Points to 450bps+ of Margin Expansion From 1H to 2H in Americas



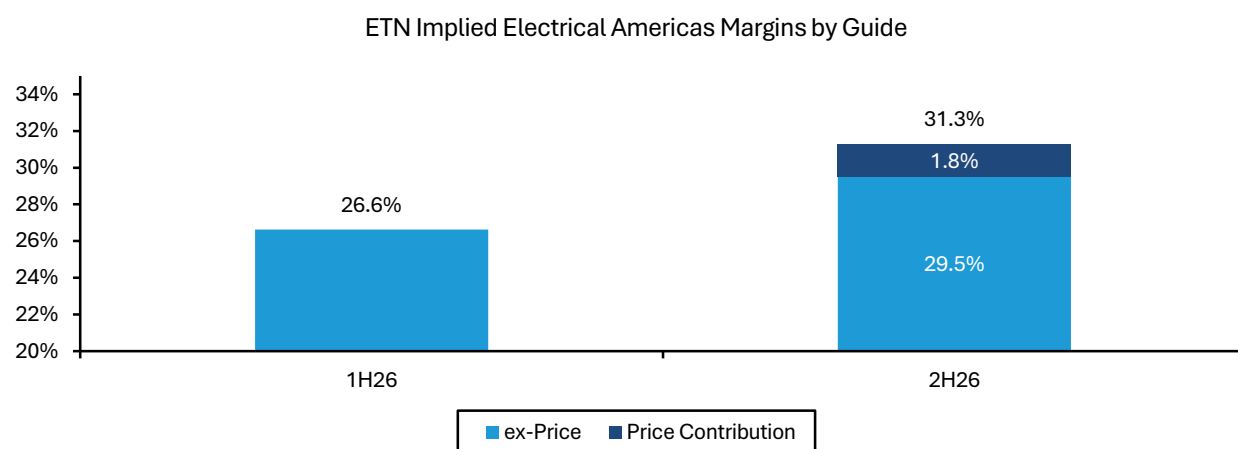
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 5: More Importantly, the Guide Embeds a 40% Incremental Margin in Americas in 2H, a Meaningful Step-Up From 1H With the Worst of Capacity Absorption Issues Behind Us



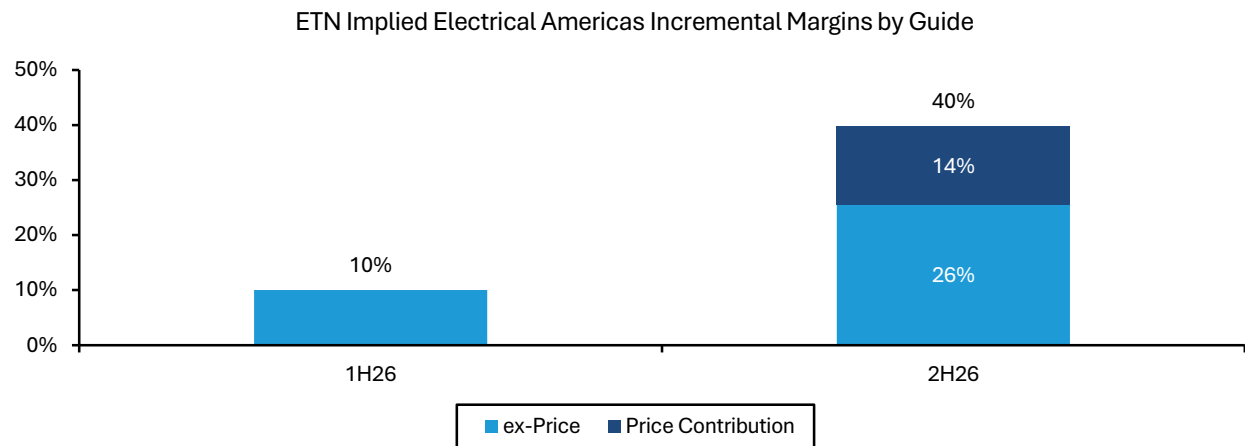
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 6: Management's Comments on Electrical Americas Pricing Contribution to Margins in 2H Implies ~200bps of Support. Core Margins Are Closer to ~30%



Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 7: This Would Suggest Core Incremental Margins Closer to 26% If We Don't Factor in Price, Which Contributes 14ppts of Incremental Margin in 2H For Electrical Americas



Source: Company reports, Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 8: ETN Income Statement

INCOME STATEMENT	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2023	2024	2025	2026	2027
Net Sales	5,943	6,350	6,346	6,240	6,377	7,028	6,988	7,056	7,451	8,531	8,517	8,361	8,505	9,300	9,452	9,275	23,197	24,879	27,449	32,859	36,532
% Y/Y	8.4%	8.2%	7.9%	4.6%	7.3%	10.7%	10.1%	13.1%	16.8%	21.4%	21.0%	18.5%	14.1%	9.0%	11.0%	10.9%	11.8%	7.3%	10.3%	19.7%	11.2%
% Q/Q	-0.4%	6.8%	-0.1%	-1.7%	2.2%	10.2%	-0.6%	1.0%	5.6%	14.5%	-0.2%	-1.8%	1.7%	9.3%	1.6%	-1.9%					
Cost of Products Sold	3,725	3,940	3,899	3,811	3,930	4,431	4,313	4,457	4,799	5,676	5,313	5,093	5,178	5,624	5,553	5,346	14,762	15,375	17,131	20,881	21,701
% of Net Sales	62.7%	62.0%	61.4%	61.1%	61.6%	63.0%	61.7%	63.2%	64.4%	66.5%	62.4%	60.9%	60.9%	60.5%	58.8%	57.6%	63.6%	61.8%	62.4%	63.5%	59.4%
Gross Profit	2,218	2,410	2,447	2,429	2,447	2,597	2,675	2,599	2,652	2,855	3,204	3,268	3,327	3,676	3,899	3,928	8,435	9,504	10,318	11,978	14,831
% of Net Sales	37.3%	38.0%	38.6%	38.9%	38.4%	37.0%	38.3%	36.8%	35.6%	33.5%	37.6%	39.1%	39.1%	39.5%	41.2%	42.4%	36.4%	38.2%	37.6%	36.5%	40.6%
Selling and administrative expense	1,025	1,021	1,028	1,003	1,048	1,149	1,105	1,009	1,269	1,236	1,393	1,368	1,391	1,521	1,546	1,517	3,795	4,077	4,311	5,266	5,975
% of Net Sales	17%	16%	16%	16%	16%	16%	16%	14%	17%	14%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%	16%
% Y/Y	13%	4%	8%	5%	2%	13%	7%	1%	21%	8%	26%	36%	10%	23%	11%	11%	18%	7%	6%	22%	13%
Research and development expense	189	196	207	201	198	192	203	203	211	227	273	268	272	298	303	297	754	794	797	979	1,170
% of Net Sales	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
% Y/Y	6%	5%	11%	0%	5%	-2%	-2%	1%	7%	18%	34%	32%	29%	31%	11%	11%	13%	5%	0%	23%	20%
Operating Income	1,004	1,193	1,211	1,225	1,201	1,256	1,367	1,387	1,172	1,392	1,538	1,632	1,664	1,857	2,050	2,114	3,886	4,633	5,210	5,734	7,685
% Margin	16.9%	18.8%	19.1%	19.6%	18.8%	17.9%	19.6%	19.7%	15.7%	16.3%	18.1%	19.5%	19.6%	20.0%	21.7%	22.8%	16.8%	18.6%	19.0%	17.4%	21.0%
% Incremental Margin	44%	51%	32%	54%	45%	9%	24%	20%	-3%	9%	11%	19%	47%	61%	55%	53%	36.5%	44.4%	22.5%	9.7%	53.1%
Net Other Expense/(Income)	-26	-32	-22	16	-9	-1	25	22	-41	47	25	25	25	25	25	25	-93	-64	37	56	100
EBIT	1,030	1,225	1,233	1,209	1,210	1,257	1,342	1,365	1,213	1,345	1,513	1,607	1,639	1,832	2,025	2,089	3,979	4,697	5,173	5,678	7,585
% of Net Sales	17.3%	19.3%	19.4%	19.4%	19.0%	17.9%	19.2%	19.3%	16.3%	15.8%	17.8%	19.2%	19.3%	19.7%	21.4%	22.5%	17.2%	18.9%	18.8%	17.3%	20.8%
Interest Expense	30	29	29	42	33	71	67	70	106	201	301	379	258	258	258	258	152	131	241	987	1031
Pre-Tax Profit	1,000	1,196	1,204	1,166	1,177	1,186	1,275	1,295	1,107	1,144	1,211	1,229	1,381	1,575	1,767	1,832	3,827	4,566	4,932	4,691	6,555
Income Tax Expense	179	201	193	195	212	203	264	161	240	321	254	98	249	283	318	330	604	769	841	914	1,180
% Rate	17.9%	16.8%	16.1%	16.8%	18.0%	17.2%	20.7%	12.5%	21.7%	28.1%	21.0%	8.0%	18%	18%	18%	18%	15.8%	16.8%	17.0%	19.5%	18.0%
Net Income	822	994	1,011	971	965	982	1,011	1,133	867	823	957	1,130	1,133	1,291	1,449	1,502	3,223	3,798	4,091	3,777	5,375
Noncontrolling Interests	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	4	4	4	5	6
Income/(Loss) From Discontinued Operations	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income (attributable to Eaton shareholders)	821	993	1,010	970	964	982	1,010	1,132	866	821	956	1,129	1,131	1,290	1,448	1,501	3,219	3,794	4,087	3,771	5,369
non-GAAP Adjustments:																					
Acquisition and divestiture charges	13	8	-4	9	8	54	44	40	87	190	190	190	50	60	40	55	40	26	146	657	205
Restructuring program charges	49	12	43	56	14	18	43	28	30	19	19	22	20	20	20	20	46	160	103	90	79
Intangible asset amortization expense	84	83	84	84	84	101	102	97	111	198	201	230	124	123	121	119	352	335	384	740	487
Non-GAAP Net Income	967	1,096	1,133	1,119	1,071	1,155	1,199	1,297	1,094	1,228	1,366	1,571	1,325	1,492	1,628	1,695	3,657	4,315	4,720	5,259	6,140
Headline EPS	\$2.40	\$2.73	\$2.84	\$2.83	\$2.72	\$2.95	\$3.07	\$3.33	\$2.81	\$3.15	\$3.50	\$4.03	\$3.42	\$3.87	\$4.25	\$4.45	\$9.11	\$10.80	\$12.07	\$13.50	\$16.00

Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 9: ETN Segment Summary

SEGMENT SUMMARY	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2023	2024	2025	2026	2027
Sales																					
Electrical Americas	2,690	2,877	2,963	2,905	3,010	3,350	3,410	3,506	3,600	3,951	4,024	3,865	4,050	4,445	4,527	4,349	10,098	11,436	13,276	15,441	17,371
Electrical Global	1,500	1,606	1,573	1,569	1,610	1,753	1,724	1,728	1,945	2,517	2,414	2,406	2,543	2,787	2,672	2,664	6,084	6,248	6,815	9,282	10,666
Total Electrical	4,190	4,483	4,536	4,474	4,620	5,103	5,134	5,234	5,545	6,468	6,437	6,272	6,593	7,232	7,199	7,013	16,182	17,684	20,091	24,722	28,036
Aerospace	871	955	946	971	979	1,080	1,079	1,111	1,139	1,222	1,246	1,278	1,222	1,311	1,337	1,371	3,183	3,474	4,249	4,886	5,241
Mobility	882	912	863	794	778	845	775	711	766	841	833	811	690	757	916	892	3,602	3,452	3,109	3,251	3,255
Total	5,943	6,350	6,346	6,240	6,377	7,028	6,988	7,056	7,451	8,546	8,539	8,388	8,692	9,534	9,515	9,343	23,197	24,879	27,449	32,925	37,085
% Y/Y - Sales																					
Electrical Americas	17.3%	13.4%	14.2%	8.7%	11.9%	16.4%	15.1%	20.7%	19.6%	17.9%	18.0%	10.3%	12.5%	12.5%	12.5%	12.5%	18.8%	13.2%	16.1%	16.3%	12.5%
Electrical Global	0.0%	2.4%	4.7%	3.8%	7.3%	9.2%	9.6%	10.1%	20.8%	43.6%	40.0%	39.3%	30.7%	10.7%	10.7%	10.7%	4.0%	2.7%	9.1%	36.2%	14.9%
Total Electrical	10.4%	9.2%	10.7%	6.9%	10.3%	13.8%	13.2%	17.0%	20.0%	26.7%	25.4%	19.8%	18.9%	11.8%	11.8%	11.8%	12.8%	9.3%	13.6%	23.1%	13.4%
Aerospace	8.5%	12.6%	9.2%	8.5%	12.4%	13.1%	14.0%	14.4%	16.3%	13.1%	15.5%	15.1%	7.3%	7.3%	7.3%	7.2%	12.3%	9.7%	13.5%	15.0%	7.3%
Mobility	-0.5%	0.0%	-5.7%	-10.5%	-11.8%	-7.3%	-10.2%	-10.5%	-1.5%	-0.5%	7.5%	14.0%	-10.0%	-10.0%	10.0%	10.0%	-	-4.2%	-9.9%	4.6%	0.1%
Total	8.4%	8.2%	7.9%	4.6%	7.3%	10.7%	10.1%	13.1%	16.8%	21.6%	22.2%	18.9%	16.7%	11.6%	11.4%	11.4%	11.8%	7.3%	10.3%	19.9%	12.6%
% Q/Q - Sales																					
Electrical Americas	0.7%	7.0%	3.0%	-2.0%	3.6%	11.3%	1.8%	2.8%	2.7%	9.7%	1.8%	-3.9%	4.8%	9.7%	1.8%	-3.9%					
Electrical Global	-0.8%	7.1%	-2.1%	-0.3%	2.6%	8.9%	-1.7%	0.2%	12.6%	29.4%	-4.1%	-0.3%	5.7%	9.6%	-4.1%	-0.3%					
Total Electrical	0.1%	7.0%	1.2%	-1.4%	3.3%	10.5%	0.6%	1.9%	5.9%	16.6%	-0.5%	-2.6%	5.1%	9.7%	-0.5%	-2.6%					
Aerospace	-2.7%	9.6%	-0.9%	2.6%	0.8%	10.3%	-0.1%	3.0%	2.5%	7.3%	2.0%	2.6%	-4.4%	7.3%	1.9%	2.5%					
Mobility	-0.7%	3.4%	-5.3%	-8.0%	-2.1%	8.6%	-8.3%	-8.3%	7.8%	9.7%	-0.9%	-2.7%	-14.9%	9.7%	21.1%	-2.7%					
Total	-0.4%	6.8%	-0.1%	-1.7%	2.2%	10.2%	-0.6%	1.0%	5.6%	14.7%	-0.1%	-1.8%	3.6%	9.7%	-0.2%	-1.8%					
Operating Income																					
Electrical Americas	785	859	892	918	904	987	1,034	1,046	922	1,088	1,209	1,253	1,069	1,249	1,372	1,410	2,676	3,454	3,971	4,472	5,099
Electrical Global	274	305	294	277	300	353	330	340	373	499	478	486	568	587	562	570	1,176	1,150	1,323	1,836	2,286
Total Electrical	1,059	1,164	1,186	1,195	1,204	1,340	1,364	1,386	1,296	1,587	1,687	1,738	1,636	1,835	1,935	1,979	3,852	4,604	5,294	6,308	7,386
Aerospace	201	206	230	222	226	240	260	268	304	278	305	310	329	305	332	337	780	859	1,014	1,197	1,304
Mobility	112	132	128	125	92	103	105	106	89	109	122	136	66	84	147	160	461	497	496	457	458
Total	1,372	1,502	1,544	1,542	1,522	1,683	1,749	1,760	1,674	1,970	2,125	2,198	2,072	2,285	2,437	2,503	5,093	5,960	6,714	7,966	9,297
Operating Margins																					
Electrical Americas	29.2%	29.9%	30.1%	31.6%	30.0%	29.5%	30.3%	29.8%	25.6%	27.5%	30.0%	32.4%	26.4%	28.1%	30.3%	32.4%	26.5%	30.2%	29.9%	29.0%	29.4%
Electrical Global	18.3%	19.0%	18.7%	17.8%	18.6%	20.1%	19.1%	19.7%	19.2%	19.7%	19.8%	20.2%	21.8%	21.8%	21.8%	21.8%	18.1%	18.1%	19.1%	21.4%	21.4%
Total Electrical	25.3%	26.0%	26.1%	26.1%	26.1%	26.3%	26.6%	26.5%	23.4%	24.5%	26.2%	27.2%	24.8%	25.4%	26.9%	28.2%	23.8%	26.0%	26.4%	25.5%	26.3%
Aerospace	23.1%	21.6%	24.3%	22.9%	23.1%	22.2%	25.9%	24.1%	26.7%	22.5%	24.5%	24.7%	26.9%	23.2%	24.9%	24.6%	23.9%	22.9%	24.5%	24.5%	24.9%
Mobility	12.7%	14.5%	14.8%	15.7%	11.8%	12.2%	13.5%	14.9%	11.7%	13.0%	14.7%	16.8%	9.6%	11.1%	16.1%	18.0%	12.8%	14.4%	13.1%	14.0%	14.1%
Total	23.1%	23.7%	24.3%	24.7%	23.9%	23.9%	25.0%	24.9%	22.5%	23.0%	24.9%	26.2%	23.8%	24.0%	25.6%	26.8%	22.0%	24.0%	24.5%	24.2%	25.1%
Incremental Margins																					
Electrical Americas	65.7%	56.0%	46.8%	66.4%	37.2%	27.1%	31.8%	21.3%	3.1%	16.8%	28.5%	57.5%	32.5%	32.5%	32.5%	32.5%	47.7%	58.2%	28.1%	23.1%	32.5%
Electrical Global	-	40.5%	-48.6%	-12.3%	23.6%	32.7%	23.8%	39.6%	21.9%	19.1%	21.5%	21.5%	32.5%	32.5%	32.5%	32.5%	17.8%	-15.9%	30.5%	20.8%	32.5%
Total Electrical	65.7%	54.5%	31.6%	51.0%	33.7%	28.4%	29.8%	25.1%	9.9%	18.1%	24.8%	34.0%	32.5%	32.5%	32.5%	32.5%	43.9%	50.1%	28.7%	21.9%	32.5%
Aerospace	30.9%	14.4%	26.4%	18.8%	31.7%	27.0%	37.7%	29.0%	15.0%	25.0%	25.0%	25.0%	30.0%	30.0%	30.0%	30.0%	19.8%	23.9%	30.7%	28.8%	30.0%
Mobility	-225.0%	-	5.7%	-12.8%	19.2%	43.9%	26.0%	22.8%	22.2%	-150.0%	30.0%	22.0%	30.0%	30.0%	30.0%	30.0%	12.8%	-24.2%	26.7%	35.7%	30.0%
Total	-63.0%	49.4%	33.7%	26.4%	34.6%	26.6%	31.9%	26.7%	14.1%	18.0%	24.0%	32.0%	32.1%	32.0%	31.9%	31.9%	36.7%	51.6%	29.3%	22.9%	32.0%

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	31 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
ETN (Eaton)	O	USD	415.20	534.00	(10.2)%	USD	12.07	13.50	16.00	34.4	30.8	25.9
OLD								13.45	16.37			
SPX			7,489.72									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We arrive at our \$534 price target by applying a 28x P/E multiple on our 2030 EPS estimate. Discounting this back, we arrive at our target price which implies a 33x P/E on our 2027 EPS. We believe this is appropriate given the long-term secular factors favoring the strength and long-term resilience of ETN's earnings algorithm.

RISKS**Eaton Corp PLC**

Downside risks include: 1) lower than expected load growth impacting ETN's Electrical organic growth business, 2) interruptions to the ongoing global data center build, 3) slower than expected utility capex growth, 4) slower than expected reshoring trends, and 5) slower than expected growth/cancellations in mega projects.

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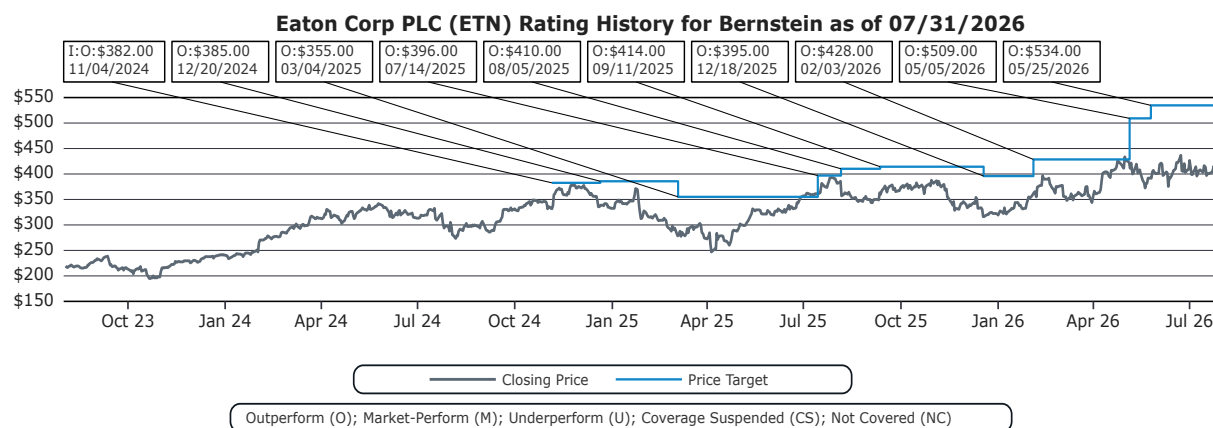
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Underperform	SELL	13.1%	13.6%

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